



MARUTI SUZUKI Nissan, Suzuki

PRODUCT: Manufactures the A-Star known as Nissan Pixo and Suzuki Alto in Europe and Suzuki Celerio in Middle East

EXPORTED TO: Exported to Europe, Middle East and Latin America

EXPORTS: 70,000 units

phistication of emerging markets will drive them to increasingly source, manufacture and sell internationally, most of it developed in India and China.

Migration allows firms to take advantage of favourable currency arbitrage and build capacity. For instance, the combined vehicle assembly capacity of Brazil, Russia, India and China (BRIC) will shoot up to 20 million vehicles this year, surpassing the 17.4 million of Canada and the US. Indian firms are now exporting cars, as Maruti Suzuki makes the A-Star for Nissan (known as Nissan Pixo) or Suzuki (Alto) in Europe and Ford India exports its Fiesta to South Africa. While sectors like the automotive industry have been adding volumes in export, others like pharmaceuticals and textiles are catching up. A large pool of patients and availability of R&D talent means India is becoming important for contract research and manufacturing. Likewise, textile and apparel sector exported goods worth \$15.27 billion in April-December 2008, of which readymade garments formed nearly 41 per cent.

The aerospace sector has emerged as a white space for Indian companies, with aircraft manufacturers building their planes in global factories. In 2007,

the European Aeronautic Defence and Space Company (EADS) the consortium that owns Airbus, set up its India sourcing office—the first outside Europe—followed by China a year later. By 2008, EADS had sourced €100 million worth of components from India. By 2020, it is targeting €1 billion. It has presently 15 Indian suppliers, including Hindustan Aeronautics Limited which makes passenger doors for its A320s, and Quest and Mahindra Satyam which provide engineering services. Boeing, too, is outsourcing over 70 per cent of the airframe of its 787 Dreamliner. So, while the Japanese and Italians are designing and building the composite fuselage sections, its Indian supplier TAL Manufacturing Services, a Tata company, makes floor beams.

Much of India's manufacturing is led by domestic demand, unlike China. "That has helped build economies of scale in full spectrum of manufacturing, which, in turn, has helped to bring costs and quality to global levels," says M.M. Singh, managing executive officer-production, Maruti Suzuki, which is now developing its first fully indigenised car. The Nano is another example of innovation, having filed over 40 patents, while companies like Nokia India have

set new benchmarks. The Kaizen programme in its Chennai factory addresses a problem faced by shopfloor workers in loading software in different languages onto handsets. It developed a key mat dial which helps employees match a language with the software. "That has been brought about by India's pool of scientific talent which allows us to do process and design innovations," says Sachin Saxena, operations director, Nokia India. This process was adopted by Nokia's factories globally.

In order to compete in a world of accelerating innovation, says Accenture, firms must bring more varied offerings to the market faster through "componentisation and standardisation of products, processes and technology" and modularising manufacturing. This cuts cost and also helps companies enter new markets. Ask automobile companies. Having sourced components for years, both GM and Ford are looking to manufacture their mini-cars here. In Ford's small car, the brake system unit is being developed by an Indian supplier, while the instrument panel is a collaboration between an Indian company and Ford's engineering studio in Australia. Also, with the increasing demand for small cars in Europe or GM's

FORD INDIA MANUFACTURES THE FIESTA CAR FOR FORD MOTOR CO AND EXPORTS IT TO SOUTH AFRICA.

EXPORTS: 3,391 units (2007 July 2009)